



Garnett Station Partners: Credit Opportunities Fund 2.0

Q4 2024 Investor Report

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"Gross MOIC" (referred to as "gross multiple on invested capital", i.e., the "total value" divided by "called capital") represents the multiple of "called capital" (presented on a levered basis inclusive of the effect of various financing facilities including a Fund-level subscription line and Fund-level TRS facility), and does not reflect the deduction of management fees, investment-level expenses, fund-level expenses, carried interest or other incentive-based compensation and other fees and expenses borne by investors, which will reduce returns and may be significant.

"Net MOIC" refers to the levered net multiple of called capital (i.e., (x) the total actual levered cash flows of each position through December 31, 2024 (the "Measurement Period"), including the hypothetical repayment of any current positions as of the Measurement Period based on a valuation as determined by an unrelated third-party, and includes deductions for management fees, carried interest and other fees and expenses, divided by (y) total called capital).

"Gross IRR" refers to the aggregate, annual, compound, gross internal rate of return on an investment (presented on a levered basis inclusive of the effect of various financing facilities including a Fund-level subscription line and Fund-level total return swap ("TRS") facility) which is based on (i) the actual cash inflows (including cash interest expense, delayed compensation, amortization payments, and realized proceeds from sales of positions) on the date each such inflow occurred and, with respect to any unrealized investment, the unrealized value as a terminal value as of the final day of the Measurement Period, and (ii) with respect to outflows, the cash movement on each date the relevant trade settled or various position-level financing expenses occurred, unless otherwise indicated. "Gross IRR" does not reflect the deduction of management fees, investment-level expenses, fund-level expenses, carried interest or other incentive-based compensation and other fees and expenses borne by investors, which will reduce returns and may be significant. An individual investor's Gross IRR is based on the actual timing of the cash outflows and inflows at the position level and thus may vary based on the timing of capital contributions from and distributions to investors. "Gross IRR" for any unrealized investment is not based on the actual timing of the capital outflows but takes into account the unrealized value as explained above.

"Net IRR" is calculated based on levered position-level cash outflows and inflows for each position as of the Measurement Period, which reflects the impact of all fund-level expenses, management fees and carried interest. Net IRR is calculated on standard limited partner terms. For trades, the cash outflow or inflow date is the date on which trades settled, while any cash interest expense or income, amortization, or other income or expenses as received or incurred, respectively, are the dates of the actual cash flows and the illustrative portfolio liquidation date is as of the final

day of the Measurement Period. These returns do not represent the actual returns of any particular investor. Net IRR will in certain circumstances be higher as a result of the Fund's use of leverage in connection with its investment activities, including in respect of GSP's ability to hold investments and expenses on the subscription facility for up to 364 days.

"Regulatory Net IRR" is a hypothetical performance metric that is designed to show net returns if GSP had not used a subscription line of credit in respect of an investment, and is provided for illustrative purposes only. No such investors in the Fund experienced such hypothetical performance. Regulatory Net IRR relies on certain assumptions, including that Fund capital was uniformly invested in positions at the time all such trades settled instead of the time Fund capital was actually allocated to the name. Regulatory Net IRR reflects the deduction of management fees, carried interest, and other fees and expenses, but does not reflect the deduction of any interest expense or other borrowing costs since it assumes no subscription line of credit or bridge financing was used for any of the Fund's investments. An individual investor's actual Net IRR will vary based on the timing of capital contributions and distributions and will be affected by the Fund's use of a subscription line of credit or bridge financing. Net Performance figures for "extracted performance," e.g., individual investments or investments representing subsets of an individual fund's performance, are estimated and do not represent actual performance experienced by investors. These figures have been calculated on a model basis for the Fund by applying the gross and net performance spread of the Fund using the relevant metrics to the investment(s) shown. These figures illustrate the potentially substantial impact of fees, carried interest, and expenses on the gross returns of extracted performance, even though these amounts are charged or allocated at the Fund level.

Certain investment calculations contained herein include unrealized investment amounts. While GSP's valuations of unrealized investments are based on assumptions that GSP believes are reasonable under the circumstances, actual realized returns on unrealized investments will depend on, among other factors, future operating results, the value of the assets and market conditions at the time of disposition, any related transaction costs and the timing and manner of the sale, all of which may differ from the assumptions on which the valuations used in the performance data contained herein are based. Accordingly, the actual realized returns on these unrealized investments may differ materially from the assumed returns indicated herein. The actual realized return of any unrealized investments may differ materially from the current asset valuation indicated herein.

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Certain information contained herein constitutes "forward-looking statements," which can be identified by the use of terms such as "may," "will," "should," "could," "would," "predicts," "potential," "continue," "expects," "anticipates," "projects," "future," "targets," "intends," "plans," "believes," "estimates" (or the negatives thereof) or other variations thereon or comparable terminology. Forward-looking statements are subject to a number of risks and uncertainties, some of which are beyond the control of GSP, including the ultimate impact of COVID-19, the Russia-Ukraine conflict and, among others, the risks listed in the Memorandum. Actual results, performance, prospects or opportunities could differ materially from those expressed in or implied by the forward-looking statements. Additional risks of which GSP is not currently aware also could cause actual results to differ. In light of these risks, uncertainties and assumptions, prospective investors should not place undue reliance on any forward-looking statements. The forward-looking events discussed herein may not occur. GSP undertakes no obligation to update or revise any forward-looking statements, whether as a result of new information, future events or otherwise.

Select investments are presented for informational purposes only and are intended to illustrate GSP's sourcing experience and the profile and types of investments previously pursued by GSP. It should not be assumed that investments made in the future will be comparable in quality or performance to the investments described herein. Further, references to individual investments should not be construed as a recommendation of any particular investment or security.

The interests in the Fund have not been recommended, approved or disapproved by the U.S. Securities and Exchange Commission (the "SEC") or by the securities commission or regulatory authority of any state or of any other U.S. or non-U.S. jurisdiction, nor has the SEC or any such securities regulatory authority passed judgment upon the accuracy or adequacy of these materials. Any Fund securities will be subject to significant restrictions on transfer under the federal securities laws and the limited partnership agreement of the Fund. There is no trading market for the Fund's securities, and none is expected to develop. Therefore, investors should have the financial ability and willingness to accept the high risk and lack of liquidity inherent in an investment in the Fund for an extended period of time.

GSP Credit Opportunities Fund 2.0

COF 2.0	Initial Closing Date	Invested Capital ¹	Gross MOIC ² /IRR	Net MOIC ² /IRR	Regulatory Net IRR
	October 2023	\$55mm (Net of Returned Capital)	1.4x / 46.1%	1.2x / 23.2%	15.8%

Since Q3'24, we added ~\$68mm in new investments in the Fund. We initiated new positions in credits as they approached our price targets or where sellers reacted to our opportunistic bids in periods of market volatility. New positions of note include:

- *Ampler Restaurant Group First Lien Term Loan*: Ampler Restaurant Group is a multi-brand quick service restaurant franchise operator group currently operating 470 restaurants across four brands: Burger King (175 units), Taco Bell (106 units), Little Caesars (97 units), and Church's Chicken (92 units). We have been monitoring this name for several years and were able to source the loan directly from an existing lender who needed to sell for technical reasons. The loan has a net detach of ~4.2x, with a valuation bolstered by its Taco Bell assets. We will look to continue adding to the position opportunistically.
- *OYO First Lien Term Loan*: OYO is a large vacation rentals management business, which also owns the Motel 6 franchisor in North America. We believe the vacation rental management business to be highly attractive and provides the vast majority of the credit support, supplemented by a cash generative business in Motel 6. We initiated our first lien position at a net detachment of ~4.5x (pre-synergies from the Motel 6 transaction; hotel management platforms trade >10x). We leaned heavily on the learnings and network we built through one of our private equity fund's investment in Prime Vacations (GSP 4.0), including on the new Prime Vacations' CEO's prior business experience with OYO.

We added to our position in:

- *Fogo de Chao First Lien Term Loan*: Fogo de Chao is a Brazilian steakhouse with 97 locations (86 company owned, 11 franchised) across the US (72 units), Brazil (8 units), and the United Kingdom (6 units) with compelling unit economics and a differentiated offering in the polished casual segment. We successfully invested in the debt of the company during its previous ownership and diligenced the business during the sale process last year (ultimately sold to Bain Capital for 9x EBITDA); we have monitored the credit actively and began investing when the term loan traded down ~5pts. The term loan has a net detach of ~3.7x versus Bain's 2023 purchase price of ~9.0x. Note that GSP's Firebirds and ARB businesses have similar characteristics to Fogo and help provide insights for diligence. We believe management has successfully steered Fogo through a challenging macro environment and its new unit rollout continues to generate attractive returns, supporting the investment in new restaurants.
- *LaserAway First Lien Term Loan*: LaserAway is the leading national medical spa platform specializing in laser hair removal. When we initiated the position in Q1'24, we were drawn to the credit by an attractive LTV (~30% at the time) and were able to source the loan through offering timely liquidity to a non-traditional holder in the credit, made possible due to our conviction in the industry and current trends through our investment in a similar (albeit smaller) platform in our private equity business. LaserAway experienced a performance miss in Q3 on the back of a slowdown in consumer discretionary spend. We opportunistically bid lower given our conviction on the strength of the brand, a covered credit in even our downside underwriting, and continued support from the sponsor (Ares).
- *Checkers First-Out DDTL and Take-Back Term Loan*: Checkers is a franchisor and operator of quick-service burger restaurants under the Checkers and Rally's banners with 800+ restaurants across the United States. The debt has a net detach of ~2.5x. We added to our debt position by providing liquidity to a passive investor.

In addition, we realized ~\$50mm through opportunistic sales and repayments, primarily through the following names:

- *United Planet Fitness First Lien Term Loan*: We continued to capitalize on trading momentum in the loan as our earnings thesis materialized to generate a realization of ~\$20mm in Q4'24, ultimately exiting our full position in United Planet

¹ As of 12/31/2024; actual capital called shown net of the return of capital following the closing of various financing facilities and not factoring capital recycled.

² As of 12/31/2024; MOIC based upon net capital called.

Fitness (“UFP”), the largest franchisee of Planet Fitness. Our years of experience underwriting Planet Fitness franchisees, including a prior credit investment in UFP, allowed us to build conviction in an earnings inflection that has materialized over the past ~18 months. Ultimately, we exited our position in UFP with an ~\$11mm gain, generating what we believe to be an attractive return.

- *Fat Brands Twin Peaks B Secured Notes*: We were refinanced out of our position in the Twin Peaks B Notes as Fat Brands refinanced the securitization structure. We achieved what we believe to be an attractive return on our position through a sale to facilitate the refinancing.
- *PF Chang’s First Lien Term Loan*: PF Chang’s is an operator of Asian full-service restaurants across the US through both a company-operated footprint (200 units) and franchised restaurants (90 units). We have remained close to the company and its sponsor since its acquisition in 2019, including making a successful investment in 2020 in the current loan and exploring a preferred equity solution in early 2023. The former CEO, who was responsible for much of the company’s turnaround, Damola Adamolekun, was a GSP Operating Executive following his tenure with PF Chang’s and prior to beginning his current role as CEO of Red Lobster. We capitalized on an investor looking to exit its position, and, given our extensive knowledge of the situation and the brand, we were quick to react with an attractive bid – we initiated a position with a net detach of ~3.7x as compared to the 2019 transaction of ~7.2x (with similar scaled, ethnic concepts trading well above these levels today). We were drawn to the credit due to its near-term maturity, which we expected would lead to an event (through either a full refinancing or an amend-and-extend) at some point in early 2025. Ultimately, PF Chang’s completed a refinancing transaction in Q4’24, where we were able to fully realize our position at what we believe to be an attractive return. We also opted to invest (albeit in a smaller quantum) in the new loan.

While the credit market broadly remains quite strong even in the face of broad market volatility (rates, equities, commodities), we remain prepared with an extensive and regularly maintained underwriting of 50+ credits, supplemented with in-depth learnings from our private equity platform, to build positions in loans when there is an opportunity to buy at our price targets. We stress cash flows and look to mid-cycle valuation multiples to assess our coverage through any earnings or macro weakness that may come.

We expect to call capital the week of February 17th of ~20% of commitments to equitize recent investments initially funded through the subscription facility.

We are preparing a supplemental presentation for investors, which will provide further insight into the composition and outlook for the portfolio. We look forward to keeping you updated as the portfolio evolves over the Fund’s two-year investment period.

